Compliance monitoring report: Q2 2026

Kestrel Pay Ltd, FCA firm reference number FRN 999901 (authorised electronic money institution).

Field	Detail
Period	1 April to 30 June 2026
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Reviewed by	Helen Marsh, General Counsel
For	Audit and Risk Committee, 16 July 2026; board, 22 July 2026
Version	1.1, 14 July 2026

This report covers Kestrel Pay Ltd only. Kestrel Pay Europe Ltd is supervised by the Central Bank of Ireland and has its own monitoring report.

1. Summary

Area	Q1 2026	Q2 2026	Trend	Comment
Safeguarding	Amber	Green	Better	Every daily reconciliation on time and no shortfalls. Q1 had one late EUR reconciliation (SG-2026-01)
Financial crime (AML and sanctions)	Amber	Amber	Same	146 enhanced due diligence (EDD) reviews overdue at 30 June
Complaints	Green	Green	Same	96.8% resolved within 15 business days
Financial promotions	Green	Green	Same	One post published before approval
Operational resilience	Amber	Green	Better	No P1 incidents in Q2. Five incidents were reported to the FCA in Q1
Data protection	Green	Amber	Worse	One personal data breach, not reportable to the ICO
Regulatory reporting	Green	Green	Same	All returns submitted on time

Two breaches were logged in the quarter (section 8). Neither needed notifying to the FCA or the ICO.

2. Safeguarding

Kestrel safeguards relevant funds by segregation, in designated safeguarding accounts at Albion Clearing Bank (GBP) and Banco Meridional, S.A. (EUR). At 30 June 2026 Kestrel Pay Ltd held £1.02bn of customer funds: £0.94bn in GBP and €95m (about £0.08bn) in EUR. Kestrel Pay Europe Ltd held a further £0.22bn, so the group total was £1.24bn.

The FCA's new safeguarding rules came into force on 7 May 2026. They add a monthly safeguarding return and require the resolution pack to be kept up to date. Finance updated the safeguarding reconciliation procedure to version 3.1 from the same date.

Daily reconciliations. There were 61 UK business days in Q2. All 61 reconciliations were finished by the 11:00 deadline, and none showed a shortfall.

Q1 breach, now closed. On Thursday 12 March the EUR reconciliation was finished at 11:20, after the deadline, because the reconciliation tool could not load a bank statement file after the bank changed its file format. There was no shortfall. We reported the breach to the FCA on 13 March (SG-2026-01). Treasury Operations now checks at 15:00 every business day that each bank's statement file has arrived.

Monthly returns. The first monthly safeguarding return (May) was submitted on 12 June. The June return was submitted on 14 July, ahead of the deadline of 21 July.

Annual audit. Fernside & Co LLP, our safeguarding auditor since October 2025, completed the audit for 2025 on 27 March 2026. It gave a reasonable assurance opinion with two low-rated findings, both closed by 30 April. Interim fieldwork for the 2026 audit (KPC-2026-0326) has been brought forward to 7 to 25

September 2026.

3. Financial crime

Measure	Q1 2026	Q2 2026
Suspicious activity reports filed with the NCA	22	27
Sanctions screening alerts reviewed	1,744	1,912
True sanctions matches (blocked and reported to OFSI)	2	4
Merchant applications checked	3,980	4,210
Applications declined on financial crime grounds	6.5%	6.8%
EDD reviews overdue at quarter end	98	146

The EDD backlog grew because two analysts left in April. Three contractors start on 1 July and the target is fewer than 50 overdue reviews by 30 September (action CM-26-11). No high-risk merchant has been left unreviewed for more than 60 days past its review date.

Identity checks for merchant onboarding run through Sorrel Identity Ltd (KPC-2025-0230). Its Q2 service review found no issues.

A card-testing attack on Kestrel Checkout in April caused £180k of chargeback losses before new fraud rules stopped it. It is covered in the fraud report to the Audit and Risk Committee.

4. Complaints

Measure	Q1 2026	Q2 2026
Complaints received	432	432
Complaints per 1,000 merchants	9.2	9.0
Resolved within 15 business days	93.5%	96.8%
Referred to the Financial Ombudsman Service	9	11
Ombudsman decisions against Kestrel	2	3

Main causes in Q2: payout delays (31%), chargeback disputes (22%), account closures (14%), fees and pricing (11%) and other issues (22%). Payout delay complaints rose in June. Two of the three Ombudsman decisions against Kestrel concerned account closures where our letters gave too little reason; Legal and Operations are rewriting the closure letters. The third, on 21 April (CMP-2026-01171), concerned international transfer fees charged twice in March; we refunded £3,850.00 to the 412 Kestrel Accounts customers affected and fixed the fee rule on 24 April.

5. Financial promotions

We reviewed 38 financial promotions in Q2: 36 were approved and 2 were rejected because the fee wording was unclear. On 9 April a LinkedIn post about Kestrel Accounts went out before Compliance had approved it. It was taken down within three hours and no complaint was received (breach B-2026-05). Training for Marketing and Sales is booked for August (action CM-26-14).

6. Operational resilience and outsourcing

- There were no P1 incidents in Q2, so nothing was reportable under the incident reporting rules. All P2 and P3 incidents stayed within the impact tolerances for our important business services.
- In Q1 we reported five incidents to the FCA: four P1 incidents and major incident MI-2026-03 on 6 February, when an expired TLS certificate on the link to the card processor caused 41 minutes of declined card payments.
- Ashgrove Cloud Services took over the running of our AWS production environment on 1 April, as planned, under KPC-2026-0142. We notified the FCA of this material outsourcing on 20 February 2026.
- The annual operational resilience self-assessment was approved by the board in March 2026.

7. Data protection

On 3 June a monthly statement for one merchant was emailed to another merchant because of a wrong address in the CRM. The statement showed the business name, account number and transactions; no card numbers. We assessed the risk to individuals as low and did not report it to the ICO. Both merchants were told, and the recipient confirmed deletion (breach B-2026-06). We answered all 14 subject access requests within one month.

8. Breaches log, Q2 2026

Ref	Date	Area	What happened	Notified to FCA or ICO	Status
B-2026-05	09/04/2026	Financial promotions	LinkedIn post published before approval	No	Closed
B-2026-06	03/06/2026	Data protection	Merchant statement emailed to the wrong merchant	No	Closed

9. Actions

Ref	Action	Owner	Due	Status at 14 July
CM-26-11	Bring overdue EDD reviews below 50	Sofia Lindqvist	30/09/2026	Open
CM-26-14	Financial promotions training for Marketing and Sales	Sofia Lindqvist	31/08/2026	Open
CM-26-15	Safeguarding resolution pack updated for the new rules	Sofia Lindqvist and Tom Whitfield	31/08/2026	Open
CM-26-09	Rewrite account closure letters	Ben Carter	30/09/2026	Open

10. Coming up in Q3 2026

- Monthly safeguarding returns for July, August and September, each within 15 business days of month end.
- Safeguarding audit fieldwork with Fernside & Co LLP, 7 to 25 September.
- Annual MLRO report to the Audit and Risk Committee on 16 July 2026.
- Thematic review of Payouts sanctions screening, reporting to the Audit and Risk Committee in October.